

issues—especially on social media—are not epidemiologists, constitutional scholars, or foreign policy experts. Most have spent less than 30 minutes *boning up* on these topics. The media makes coverage of events like these all-consuming, and so we are fooled into believing we have anything more than a superficial understanding of the subjects. People’s thought processes go off the rails when they forget about what they do and don’t know. Especially when their process is such that it’s likely they *can’t* possibly know.

All good investors must constantly ask themselves these questions: *What do I know? What do I believe in, and why? How can I tell when I am wrong? What will I do about it?*

I am constantly trying to refine how I think about investing, and that has evolved over the decades. One of the best things about being the host of Bloomberg’s Masters in Business show is every week, I sit down for an hour or two with the most successful investors in history to discuss their thinking processes. It’s deeply revealing and informative.

The great public debates over the past few years have been instructive as to how to *think about thinking*: Vaccine skepticism, January 6 attacks, inflation, the debt ceiling, even the flat-earthier stuff. Close scrutiny reveals people’s thought processes, and where they can go awry.



You might be surprised to learn that I believe the three most important words in investing are, “I don’t know.” *Not saying* those three words has cost investors billions. Read on to see why.